

UK Care Home Market Overview (2025)

Market Size & Structure

- Estimated market size: £26.2bn (2024).
- 90% of supply is independent sector; 78% for-profit, 12% not-for-profit.
- Highly fragmented with many small operators; SME providers hold >50% of capacity.

Demand & Supply Dynamics

- ~16,457 registered homes, ~529,549 beds.
- Workforce: ~788,000 workers.
- Demand rising due to ageing population; supply lagging.
- Only 86 net new beds added in 2024; major shortfall expected by 2050.

Investment & Market Activity

- ~£1.5bn deployed into senior housing in H1 2025.
- H1 2025 transaction volume ~£1.75bn (+108% YoY).
- Strong interest from US and overseas investors.
- Growing activity in midmarket assets and consolidation.

Key Trends

- Shift to larger, purpose-built homes (60–80 beds).
- Expansion of luxury care homes with hotellike amenities.
- Increased use of care technology (monitoring, design improvements).
- Continued consolidation across operators.

Challenges & Risks

- Severe workforce shortages (~10% vacancy in nursing roles).
- Rising operational costs (wages, NI, inflation).
- Planning delays at 45 year low for new approvals.
- Funding pressures on local authorities; growing reliance on self funders.

Outlook (2025–2030)

- Strong demand growth driven by ageing population.
- More consolidation and investor led redevelopment expected.
- Premium and specialist dementia care growing fastest.
- Regulatory and workforce pressures remain key risk areas.